Mark Minervini Setup

How to find stocks :-

- Screen stocks that are within 25% of their 52week high

Eliminate the following stocks

- Eliminate stocks trading below 30
- 200 MA is rising for at least 3 months
- 50 MA is above 200 MA
- Current price is above 200sma and preferably above 50 too
- Current price is at least above 100 % from 52week low
- The stock should have made a 52 week high at least once every 4 to 6 month

Buying Pattern

- Make stock list every week after weekly closing
- Use weekly charts
- Use Volatility contraction Pattern (VCF)
- Use only Price and volume
- Stocks moving up with good volume and then falling with lower volume(consolidating) is good. (Use weekly charts)
- AMO daily charts are good for seeing setting of the stock
- Look for volatility contraction in daily charts(just for looking entry)
- You don't need to find new candidates everyday, try to add to existing position
- Breakouts should happen between 4-8 weeks
- Win rate is only 50% so be prepared

Post buying monetring

- Follow up buying
- Green days vs Red days
- UP volume vs Down Volume
- Tennis Ball Action
- Shallow Pullback

VCP Pattern

- To calculate Volatility contraction divide swing low by swing high then -1 gives the % drop in Volatility
- There should be ideally 3 VCP
- Each time volatility should decrease by ideally 50% (not a hard rule)
- Buy when the previous swing high is taken out
- With Volatility there is also time contraction which is very similar to price contraction
- Take a stock for 2 VCP only if second contraction is more than 70%

Stop Loss Calculation

- Plot 20 period ATR on daily chart
- Calculate 2X of the above value
- Use this value as your stop loss
- Use maximum of 10% as Stop loss

Position Sizing

- Take 0.5% capital at risk first(1% during 2nd trade)
- Evaluate daily your position how its going to add more or cut down
- Be risk averse

Pyramiding

- If a stock works out then look for pyramiding(since we are at 0.5% only)
- Keep an eye for pyramiding only above 5% up from buy price
- Don't be in a hurry to buy
- Let the stock have some profit booking
- Move 1st trade sl to cost so we are now at break even
- Take every new adding position as a fresh trade. Keep sl new at 2ATR

Exit

- If sl hits
- Stock falls heavily with good volumes
- Trail ATR with new ATR
- Check 10dma if the rise is too steep(80-90°) look to nail down profits
- See exhaustion gaps not able to cross high

Risk Management

- Win % is 50% so 4-5 trade will only make money so make a lot of money on it
- Read losses as cost of doing business so its normal take it
- Don't go all in a stock and don't love a stock or trade
- Losses are recoverable but don't let them go out of hand so that it cant be recovered
- Always follow risk management
- Keep your losses short and in control
- Always have a plan
- Never change stop loss in downward direction
- Daily put stop losses so to protect from a black swan or major fall event
- Always take first trade at 0.5% of risk
- No trade is sure shot every trade is same
- Never break rules even at the cost of loss
- Breaking rules instill bad habit
- Never even play with stop losses(It's the most important thing)
- Never let a stock go out of hand
- Never ever compromise on Position Sizing
- Even a single stock can wipe you out so never play with fire
- While pyramiding every new addition is a new trade and take it as a new position, the previous position is now free so relax about it
- There is no Targets but always stop loss
- You can never catch top or bottom
- At max you will get 10-15% drawdown during high volatility and crisis time accept that, Be in cash find new trades when market normalizes and you can recover your entire money in 2-3 months

How to limit Drawdown

- Limit Portfolio drawdown to 5-6%, close all positions and don't trade for the month- It's the budget for the month
- Maintain Trade journal and review your performance
- Use time stop- If your average holding is 10% and the stock is not moving and its 15-20 days then cut the position and save time and capital
- Keep faith in your strategy and there is no Holy grail system

Mindset of a successful Trader

- Accept the following truths:-
- Anything can happen
- You do not need to know what will happen next
- Thinking in Probabilities
- Living in the moment
- Every moment is unique
- IN Short it's the ability to think differently from everyone else
- Be prepared for loosing money- Train your mind for this and losses wont affect your trading, think losses as cost of doing business
- If a VCP fails and then again the stock consolidates then track the stock again generally it becomes more stronger and while taking positions don't think about previous trade or loss on the counter
- Each trade is a new trade
- Keep your cool and be relaxed

Have a happy and profitable trading